

INTRODUCTION

The next analytical toolset that we will be talking about is “Moving Averages”. We will learn to use moving averages to conduct technical analysis and to create trading strategies.

The new entries keep on adding themselves automatically and the last entries keep deleting themselves and hence, the name ‘moving averages’. For instance, a 10-day moving average is an average of the last 10 days' closing price. Now, when a day passes, a new closing price is added and the 10th days' closing price is removed from the moving average. This means it is a rolling average of the last n number of periods. We can have a moving average for any number of periods. We can have moving averages for 4 periods, 9 periods, 20 periods, 50 periods, and so on. The ones that we will use depends on our typical holding period for that asset.

